

Message from the CEO

**With a following wind, we will
continue to achieve
breakthroughs, aiming to enable
anyone to continue to live in good
physical and mental health over
the course of their lives.**

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In the Current Business Environment, We Have a Following Wind

Regardless of the era, people have an unwavering desire to stay healthy. People's growing health awareness, which was triggered by the COVID-19 pandemic, is a following wind for ASICS as a company operating business focused on exercise and sports which are essential for leading a healthy life. I myself feel refreshed when exercising. Every time I get that feeling, I am reminded of the greatness of the power of sports. In addition, the relationships and happiness made possible by playing sports with friends are invaluable. Due to the easing of COVID-19 restrictions, we are finally allowed to watch sports in stadiums and cheer loudly. I believe that many people now understand the appeal of watching, cheering, supporting and playing sports.

VISION 2030 Incorporating Our Founding Philosophy

In 2020, we created VISION 2030, a long-term vision for 2030, a decade into the future. It was formulated mainly by the young employees who will play core roles in ASICS in 2030. The thoughts of our founder, Kihachiro Onitsuka, are surely reflected in one of the vision's goals, ensuring a world in which each and every one of us can engage in exercise and sports throughout our lives and continue to live in good health, both mentally and physically. He founded ASICS with a desire to enable young people to develop soundly through sports at a time when Japanese society was struggling in the aftermath of World War II. The founding philosophy, "ANIMA SANNA IN CORPORE SANO (a Latin phrase for 'a sound mind in a sound body') is the origin of ASICS. It is also the name of the company.

In Japan, a country known for the longevity of its people, there is now an approx. ten-year gap between the physical life expectancy and the healthy life expectancy for both men and women. Initiatives for achieving the Vision also lead to a longer healthy life expectancy.

Toward a Future Where Anyone Can Continue to Live in Good Physical and Mental Health over the Course of Their Lives

To achieve the Vision, we will focus our efforts on three business domains in the medium term.

The focus of our business has been products, including shoes and apparel. Going forward, we will also focus our efforts on the provision of programs and services which will help people improve their health by increasing the effect of exercise more safely and effectively based on analyses and diagnoses using digital technologies while creating sports facilities and communities. We aim to achieve an operating income ratio of 10% while increasing net sales in the three business



domains of Products, Facilities & Communities, and Analysis & Diagnosis to the same level.

On the other hand, a peaceful, stable society is necessary for there to be an environment where people can play sports. ASICS recognizes geopolitical risks, including the Russian invasion of Ukraine that began last year, and an unstable economic environment to be risks.

Breakthroughs Achieved in 2022

In the integrated report published last year, I positioned 2022 as a breakthrough year and vowed to achieve significant growth as a result of all our efforts to date. Now, 2022 is over and I am very happy to show you that we are a company that has achieved major breakthroughs.

In 2022, the business environment was affected by the COVID-19 pandemic, with the number of infected people remaining large even though the pandemic subsided. A typical example of this was the lockdown in China. In this environment, we achieved the numerical targets set in Mid-Term Plan 2023 a year earlier. Net sales grew by double digits in all regions, to a record high of 484.6 billion yen. Operating income also reached a record high of 34.0 billion yen (with an operating income ratio of 7.0%), both far exceeding the targets in the Mid-Term Plan. We have also achieved various other KPI targets in the Mid-Term Plan released the previous year, including the ratio of e-commerce net sales to overall net sales, the number of OneASICS members and the female manager ratio.

These Breakthroughs Were Achieved by Mobilizing the Capabilities of All Employees Globally

With a profit-oriented mission, all of the employees shared and understood each measure globally and worked on them together uncompromisingly, moving in the same direction,



focused on the two axes of digital technologies and sustainability. This produced quantifiable results. They changed their thinking, shifting from a sales-oriented approach to a profit-oriented one while sales subsidiaries responded to the transition to a category-based structure. These and other understandable struggles were experienced by the people working on-site. I feel sure that the efforts accelerated in this way supported the breakthroughs achieved in 2022 and form the foundation for the breakthrough that will be achieved in and after 2023.

2022 breakthroughs ① Evolution of the Running Ecosystem

Race registration is a key point in the process of building a running ecosystem, through which we are able to comprehensively support runners, including the provision of shoes and other products, time measurement services, training programs, and supporting race participation. Starting in 2019, we acquired race registration companies in North America and Australia. In 2022, we affiliated with race registration companies in Japan and Europe who became new members of the ASICS Group. This enabled us to connect with approx. 12 million runners. We will attract them to OneASICS, thus expanding the reach of our products and services. In addition, the acquisition of race registration companies, which provide services digitally, has led to the enhancement of the digital human resources of the ASICS Group.

2022 breakthroughs ② World Athletics Championships Oregon 22

In the World Athletics Championships held in 2022 in Oregon, the United States, which is a key region for ASICS, athletes wearing METASPEED series performed brilliantly. Thus, a certain degree of achievement was seen in the Chojo Project (C Project) designed to recapture a leading market share in the area of top athletes. In addition, we took the Oregon 22 as an opportunity to deploy promotional vehicles all across the United States to enable non-professional runners to see and use ASICS products. This strongly increased the appeal of the ASICS brand to consumers. We will continue this kind of initiatives.

2022 breakthroughs ③ The Lightest CO₂ Sneaker*

On the product front, we developed and announced GEL-LYTE III CM 1.95, The lightest CO₂ sneaker throughout the product lifecycle were limited to 1.95 kg CO₂e. The CO₂ emitted by a typical shoe is believed to be 8 to 12 kg CO₂e. For this product, we developed technologies by identifying measures to reduce emissions throughout the product lifecycle, including material procurement, manufacturing, transportation, use and disposal. We also made it comfortable to wear and applied uncompromising standards in the functional aspects, as is expected of ASICS. This product is scheduled to be released in the autumn of 2023. We will use the knowledge we have obtained this time for our future products.

*Based on available industry data for life cycle CO₂e emissions as of Sep. 2022.

Room for Growth Is *Konna Mon Janai* (Far More than This)

I feel that the room for growth to be achieved in and after 2023 is *Konna Mon Janai* (far more than this). *Konna Mon Janai* (far more than this) is the catchphrase for METASPEED, which also achieved a breakthrough in the Ekiden relay races held in the beginning of this year. I feel certain that by addressing the issues recognized in 2022, the year when we achieved the best performance ever, we can continue to set new records in and after 2023.

One of the issues that we had yet to address in 2022 is in the apparel business. We will restore the profitability of this business in 2023. Target regions are North America and Japan. In the US, net sales grew significantly, but not with profit. We will increase profit by narrowing down the apparel products we provide, closing unprofitable directly operated stores, ensuring that we attach importance to profit in our sales channels, and strengthening e-commerce. In Japan, we will also narrow down the apparel products we provide and position tennis, football, and basketball as our sports of focus. In addition, we will also dedicate efforts to work shoes, sales of which are strong in recent years. We will reinforce our profit structure through these initiatives.

Emerging Countries Will Be a Growth Driver in the Medium and Long Term

One of the key drivers of our future growth is emerging countries. In the city of Mumbai, India, which I visited at the beginning of this year, I was surprised to see the streets already filled with runners in the morning. India, where one of ASICS' shoes production factories is located, has a big advantage in that local production for local consumption is possible. We aim to achieve net sales of 10.0 billion yen as soon as possible in this growth market where the population is

increasing remarkably and the economy is growing. In Southeast Asia, we will focus our efforts on Indonesia and Vietnam, where the average age is low and economic growth continues, in addition to our existing markets of Singapore, Thailand, and Malaysia. South American markets, such as Brazil, Chile and Colombia, and the Middle East market, where the growth of the exercising population is mainly occurring in Saudi Arabia, are also attractive. We will expand our business, which we have been operating mainly in North America, Europe, Japan, Greater China, and Australia, even more broadly to other countries in the world.

Performance Running Drives Other Categories of Business

Regarding our business categories, we will enhance the presence of performance running, where we have a full lineup in various aspects, including types of runners and price ranges. In Greater China, ASICS continued to grow during the COVID-19 pandemic thanks to the communication of its brand image, "Choose ASICS if you run or do exercise." The brand's enhanced presence in the realm of performance running positively impacts other categories of business. Further, in addition to the existing business categories, we will continue to take on challenges in Para Sports, urban sports, and e-sports as three areas that we established after the end of the Tokyo Olympics and Paralympics as areas where we want to establish a legacy.

Human Capital and Intellectual Capital Support Brand Value

Regarding intangible assets, it is important that we surely protect the brand and increase its value. This is supported by human capital and intellectual capital. It is said that business is people. Improving the environment to attract many highly talented human resources to ASICS and enable them to work leveraging diverse work styles is also a duty I have as a top management. We would like to collect human resources to ensure that ASICS stays an organization where human resources can grow. In addition, ASICS operates its business with a focus on innovation, so we are fully aware of intellectual property. We will acquire patents and rights while proceeding with projects, and intellectual properties are among the arrows in our quiver.

The Environment, Human Rights, and Sustainable Procurement are Central to Management

It is not possible to play sports on a scorching planet. Therefore, we will accelerate initiatives to address climate change by positioning the protection of the environment of a planet where playing sports is possible as an important task that is vital to the survival of ASICS. ASICS advances initiatives by sharing a specific roadmap toward the achievement of net-zero emissions

from its entire supply chain by 2050. Once a year, I visit production factories, which have an extremely important place in the supply chain, to check their actual conditions in person. We will take initiatives to protect the human rights of workers and improve their work environment, such as streamlining production through mechanization, while also establishing systems and operations that prevent child labor, excessive work hours, and other problems. In addition, to protect the global environment, we will accelerate the shift of our production factories to renewable energy.

We will indicate CO₂ emissions on the products, starting from the 30th anniversary model of a long-selling product from ASICS (GEL-KAYANO), which we will launch this year. We will also advance initiatives regarding the disposal of products, to enable customers to know the CO₂ emissions throughout the product lifecycle and also to consider environmental issues together with them.

With regard to governance, we have abolished anti-takeover measures, reflecting the improvement of our corporate value through the formulation and execution of Mid-Term Plan 2023 and the recent trend of prevention policy.

Afterword

Let me repeat that we aim to ensure a world in which each and every one of us can engage in exercise and sports throughout our lives and continue to live in good health, both mentally and physically. We would like to expand our business by valuing the feeling of excitement that sports enable and maintain our relationships with our stakeholders that make the growth of ASICS a pleasure. To our shareholders, we have promised to increase shareholder returns to an exciting level, targeting a total return ratio of at least 50%. We cannot be what we intend to be like without moving hand-in-hand with our stakeholders. We will keep moving forward to achieve our vision. Please look forward to the future of ASICS.

